

NeuroGuard AI

Ethical Startup Business Plan Report

Course: CS-230

Instructor: Lynne Grewe

Student Names: Sarah Dargan

Institution: CSUEB

Date of Submission: 28/04/2026

Contents

1: Ethical Business Plan.....	2
1.A. Company Name of Fictitious Company	4
1.B. Long-Term Vision Statement	4
1.B.1 Goals	4
1.B.2 Idea Origination	4
1.B.3 Purpose / Values / Mission	4
1.B.4 Key Questions.....	5
1.C. Strategy with Ethical Impacts AND Ethical Safeguards	5
C.1.1 OKR 1 Objective and Key Result.....	5
1.C.1.2 OKR 1 Metric(s) Experiment(s).	5
1.C.1.3 OKR 1 Ethical Impact(s)/Issue(s).....	6
1.C.1.4 OKR 1 Ethical Safeguards.....	6
1.C.2.1 OKR 2 Objective and Key Result.....	6
1.C.2.2 OKR 2 Metric(s) with Experiment(s)	6
1.C.2.3 OKR 2 Ethical Impact(s)/Issue(s).....	7
1.C.2.4 OKR 2 Ethical Safeguards	7
1.C.3.1 OKR 3 Objective and Key Result.....	7
1.C.3.2 OKR 3 Metric(s) with Experiment(s)	7
1.C.3.3 OKR 3 Ethical Impact(s)/Issue(s).....	7
Ethical Protection, OKR 3.....	8
2: Cultural Policy	8
2.A. Core Values	8
2.B. Motivation	9
2.C. Summary.....	10

3: Ethics Policy	10
3.A. Core Items	10
3.B. Board	11
References:.....	13

1: Ethical Business Plan

1.A. Company Name of Fictitious Company

NeuroGuard AI

1.B. Long-Term Vision Statement

1.B.1 Goals

NeuroGuard AI will transform the digital ecosystem by creating artificial intelligence systems, which actively identify and avert damaging online habits like cyberbullying, misinformation, and digital harassment. The company envisions making the digital world less dangerous, more ethical, and fair in the long run by adopting AI moderation tools on social media, education, and corporate communication networks. In the long term, NeuroGuard AI aims to be one of the pioneers in AI governance through ethical and high-technology innovation by making customer welfare and fairness their priority (Floridi et al., 2018).

1.B.2 Idea Origination

The NeuroGuard AI concept was developed due to the growing alarm around the world about the adverse psychological and social effects of digital technologies. The necessity to find responsible technological solutions has been pointed out through academic discourse on the ethics of AI, as well as real-life examples of cyberbullying and fake news. This idea was also informed by the studies that show that unrestricted online space may be very detrimental, in terms of mental well-being and social unity. The necessity to have a smart and ethical intervention system led to the creation of a system that does not only identify harmful content but also suppresses its distribution in real-time (Gorwa, Binns, and Katzenbach, 2020).

1.B.3 Purpose / Values / Mission

NeuroGuard AI is meant to ensure that technological development is in line with ethical responsibility by instilling moral consideration into the AI systems. The company is based on such values as transparency, accountability, fairness and inclusivity. Its vision is to create AI solutions that will safeguard the users without violating basic rights like privacy and freedom of speech. Through a focus on the principles of ethical design, NeuroGuard AI is aiming to make sure that its

technologies will have a positive impact on the society instead of making the existing inequalities and biases even more pronounced (Jobin, Ienca, and Vayena, 2019).

1.B.4 Key Questions

There are several basic questions, which guide NeuroGuard AI in its strategic choices and its ethical course. The company is constantly assessing the use of the artificial intelligence to safeguard users without violating their privacy and free speech rights. It also reflects on the possibilities of using digital technologies in minimizing harm and positively engaging online. Besides, the startup also considers the bigger ethical task of technology companies to shape the social action and culture of the digital realm, understanding that innovation has to be tempered with social responsibility and accountability (Mittelstadt et al., 2016).

1.C. Strategy with Ethical Impacts AND Ethical Safeguards

C.1.1 OKR 1 Objective and Key Result.

NeuroGuard AI has the first strategic goal to create and launch an AI-based content moderation system in real-time on social media in two years. The system aims at ensuring high accuracy rates in the process of identifying the harmful content and low levels of false positives. The major aspects that will be attained are: 1) minimum 90% detection accuracy, 2) 40% reduction of cyberbullying cases on partner platforms, and 3) establishment of partnerships with at least five large digital platforms. This goal represents the increasing need in automated moderation tools, which can be expanded quickly and satisfy the ethical issues of harm on the Internet (Gillespie, 2018).

1.C.1.2 OKR 1 Metric(s) Experiment(s).

Measures of success: To gauge the success, NeuroGuard AI will monitor the following measures: detection accuracy, false positive and false negative rates, user satisfaction and reported harmful incidents. To test and evaluate moderation algorithms, the company will perform controlled experiments, such as A/B testing and pilot deployments on partner platforms. Such experiments will enable constant optimization of AI models, using actual performance data. Not to mention, the training and evaluation data will be managed according to the ethical standards of data governance to avoid its misuse and create transparency (Floridi et al., 2018).

1.C.1.3 OKR 1 Ethical Impact(s)/Issue(s)

Although AI-based content moderation has numerous advantages, it raises various ethical issues. Among the biggest issues is the possibility of violating the freedom of speech in case the material is mistakenly marked or deleted. Another serious problem is algorithmic bias, which can occur when AI systems are trained on biased data and thus can decide on some groups or opinions out of proportion. Moreover, the constant surveillance of the user generated information also poses a threat to the privacy of the Internet users, especially when they are not informed about the data analysis process. Such issues emphasize the importance of ethical cautiousness when designing and implementing such systems (Mittelstadt et al., 2016).

1.C.1.4 OKR 1 Ethical Safeguards.

In order to reduce these risks, NeuroGuard AI will enact several ethical safeguards. This system will also feature explainable AI, which will enable users and the moderators to know a reason why something was flagged. To make the process fair and accountable, human control will be incorporated in the moderation process. Bias audits will be done frequently to detect and rectify discriminative trends in the algorithms. Moreover, the data anonymization and encryption procedures will be properly strict to guarantee the privacy of the user, as well as to adhere to the international standards of data protection (Jobin et al., 2019).

1.C.2.1 OKR 2 Objective and Key Result.

The second goal is the development of AI-based mental health assistant identifying negative behavioral patterns and offering supportive interventions. The system will identify early indicators of mental distress in 85 percent of cases within three years and provide real-time assistance, as well as form collaborations with mental health organizations. This project is indicative of the growing awareness of the connection between digital spaces and mental health outcomes (Gorwa et al., 2020).

1.C.2.2 OKR 2 Metric(s) with Experiment(s)

This system will be considered effective based on the measures of user engagement, intervention success rates, and mental health professional feedback. The experimental methods will involve the experimentation of different response strategies, including automated supportive messages as well as referrals to professional assistance. School and workplace pilot programs will inform about the

performance of the systems and their acceptance by the users, which will lead to the continuous improvement.

1.C.2.3 OKR 2 Ethical Impact(s)/Issue(s)

The project provokes ethical issues concerning privacy, consent and psychological profiling. Failure to understand user behavior might result in inappropriate interventions and this may result in distress or stigmatization. Moreover, AI-based mental health assistance can lead to the deterioration of the tendency to obtain professional help. These concerns demonstrate the need to keep a definite line between technological assistance and medical practice.

1.C.2.4 OKR 2 Ethical Safeguards

NeuroGuard AI will counter these issues as an opt-in mechanism will be introduced to guarantee user permission prior to data collection and analysis. The site will explicitly display the site limitations and stress that it is not a replacement of professional mental health services. The design of the intervention strategies will be based on collaboration with licensed psychologists to ensure that they are effective and ethical.

1.C.3.1 OKR 3 Objective and Key Result

The third goal is to establish an international ethical AI compliance policy in five years. This framework will also offer standardized ethical guidelines on using AI and certify the organizations that adhere to these guidelines. The major outcomes are certifying a minimum of 20 companies and receiving acknowledgment by international regulatory bodies, thus facilitating responsible AI conduct in industries (Floridi et al., 2018).

1.C.3.2 OKR 3 Metric(s) with Experiment(s)

The level of success will be determined by the rate of adoption, compliance, and recognition in the industry. To fine-tune the framework, the company will carry out pilot certification programs and stakeholder workshops. The responses of the organizations involved will be taken to enhance its usefulness and relevance in other industries.

1.C.3.3 OKR 3 Ethical Impact(s)/Issue(s)

The issue of dealing with cultural differences in ethical values is one of the key problems of the global structure implementation. Another threat is that businesses would be willing to get certified

because it is a marketing tool that they need and are not interested in being ethical. There are other challenges of accountability and enforcement at various jurisdictions.

Ethical Protection, OKR 3

NeuroGuard AI will also have strict auditing measures in place to allow re-certification to be done periodically to make it credible. Third party organizations will be used to evaluate compliance independently. The framework is also going to be flexible so as to embrace cultural differences without compromising on the core ethical principles that will ensure the relevance of the framework globally and applicability at the local level (Jobin et al., 2019).

2: Cultural Policy

2.A. Core Values

The ethical responsibility, innovation, transparency, and human well-being are the core values of the company at NeuroGuard AI. The aim of the company is to become a technology leader that is not just profit-driven or efficiency-driven, but proactively combines ethical thinking processes in all levels of development and deployment. NeuroGuard AI seeks to be viewed as a reliable organization that safeguards the users and does not interfere with their rights, making its systems to be just, impartial, and responsible. These principles are consistent with the wider debates in AI ethics, which recommend the relevance of responsibility and human-centered design in the creation of technologies (Floridi et al., 2018).

Transparency is one of the main elements of core values of the company. NeuroGuard AI is of the view that users must be well-informed about the functioning of AI systems, especially when such systems are used to make decisions like content moderation or behavioral analysis. This is coupled with the delivery of explainable output and giving the user the right to challenge or appeal system decisions. Fairness is another vital value as it entails taking proactive actions to identify and reduce algorithmic bias so that no specific group or person is discriminated against or discriminated. Inclusiveness is also a priority in the company, as different viewpoints are taken into account when designing and implementing the system, which enhances both the ethical integrity and technical performance (Jobin et al., 2019).

Moreover, NeuroGuard AI places emphasis on constant innovation, yet without taking into account moral accountability. The firm thinks that technology should be driven by ethical issues and standards, so that developments made help to benefit society. In its quest to achieve long-term trust with its users, partners, and the community at large, NeuroGuard AI aims to be both innovative and responsible to ensure it achieves its goal. The studies of organizational ethics indicate that organizations that incorporate moral principles in their fundamental business processes have a higher chance of maintaining confidence and long-term prosperity (Treviño and Nelson, 2021).

2.B. Motivation

The culture of NeuroGuard AI is highly inspired by the desire to build meaningful impact and positive impact with technology. The promising opportunities of artificial intelligence to make life better, safe on the web, and better online communities are the things the company is most excited about. The concept that technology can be used to do good in case it is created with care, empathy, and the understanding of ethics drives the team. This passion promotes creativity, teamwork, and a sense of purpose in the employees, motivating them to come up with solutions that can truly solve the problems facing the society (Floridi et al., 2018).

Simultaneously, the company knows and is driven by its fears. Among the main issues is that its technology might cause harm, intentionally or not, either by biased decision-making, invasion of privacy, or abuse by third parties. It is also feared to lose the trust of the people, which is vital to any company operating in the field of AI and user data. Moreover, NeuroGuard AI is aware of the more general dangers when it comes to the abuse of artificial intelligence within society, such as surveillance, manipulation, and inequality. These issues are indicative of ethical dangers in AI development and application that are actively debated (Mittelstadt et al., 2016).

Such fears are not perceived as constraints but as driving influences that influence the culture of the company. By doing this, they promote a more careful and thoughtful attitude towards innovation, in which each new feature or system is not only assessed based on its effectiveness but also based on its ethical consequences. NeuroGuard AI helps create a culture of responsibility, accountability and continuous improvement by openly admitting both its aspirations and concerns.

2.C. Summary

Responsible and ethical innovation.

3: Ethics Policy

3.A. Core Items

The NeuroGuard AI ethics policy will be aimed at making sure that every technological advancement and commercial operations correlate with good ethical values, especially in artificial intelligence. The initial fundamental element of this policy is Transparency and Explain ability, meaning that AI systems should be comprehensible, comprehensible by people and stakeholders. That is, an AI decision, like content moderation or behavioral analysis, should be easily understandable and clarified. It is widely acknowledged that transparency is a core idea of ethical AI systems since it fosters a sense of trust and holds a sense of responsibility (Floridi et al., 2018).

Fairness and Non-Discrimination is another basic element of the ethics policy. As biases are commonly found in the training data used to develop AI systems, it may treat any individual or group differently. NeuroGuard AI proactively handles this problem with regularly audited algorithms and datasets to identify and reduce bias. Without fairness, it is critical to ethical compliance but also to the social trust in AI systems, which is a dominant theme in global AI ethics (Jobin et al., 2019).

The third important item is Privacy and Data Protection that demonstrates the dedication of the company to the protection of the information of people. NeuroGuard AI has stringent data governance measures, which include anonymization, encryption, and safe storage. A choice of data features such as opt-in features and transparent consent also offers users control over their data. Such actions are consistent with the generally accepted moral principles that stress the significance of individual's privacy protection in data-driven technologies (Mittelstadt et al., 2016).

The other significant policy area is the Accountability and Human Oversight. NeuroGuard AI makes sure that critical decision making procedures that may involve user rights and health are monitored by a human mind. Even though AI can be used in automating most of the tasks, the

trained human operators will be left to edit and rectify the system outputs. Such a solution is aligned with the ethical guidelines emphasizing the need to preserve the ability of humans in control over automatics (Floridi et al., 2018).

Last but not least, the company is concerned about Social Responsibility and Harm Prevention. NeuroGuard AI believes that its technologies will have a positive impact on society and is determined to make sure that they do not impact it negatively. This involves taking an active role in discouraging abuse like surveillance abuse/behavior manipulation. To align its technologies with the ethical behavior of the society, the company continuously assesses the societal impacts of its technologies and interacts with the external stakeholders. These increased effects are one of the major factors to consider in responsible AI development (Jobin et al., 2019).

3.B. Board

Timnit Gebru, a leading figure in the field of ethical artificial intelligence and a prominent computer scientist, is one of the major figures that could be chosen to be an ethics board member. Her work is centered on algorithmic bias and the effects of AI systems on society, especially when it comes to race and gender. Previously, she co-led the Ethical AI team at Google and then established the Distributed AI Research Institute (DAIR). Her representation on the board is critical since her experience is all about unfairness, accountability, and bias reduction, which are key issues in the technology of NeuroGuard AI (Gebru et al., 2018).

Tristan Harris is another influential Board member and is known to be a proponent of humane design and ethical technology. In this regard, he has been able to shape the attention of other people as the co-founder of the Center of Human technology, he has managed to draw a lot of focus on the manipulation of user behavior and attention by digital platforms. The work underlines the need to balance technology and human values, as well as reduce the amount of harm done through persuasive design. This is especially our business since NeuroGuard AI contributes to shaping the interactions and online environments (Harris, 2016).

One of the third members on the board is a data scientist, Cathy O NEIL, who critically examined the systems of making decisions using algorithms. Throughout her writing, she examines the way opaque algorithms can reify inequality and render detrimental effects upon society. Her experience is most applicable to NeuroGuard AI, because it makes the company to be responsible and not

develop systems that will intentionally hurt users. Her attitude reinforces her company in the ethical responsibility and responsible innovation (O'Neil, 2016).

These board members are chosen as a team of technical and ethical leaders that are directly connected with the mission of NeuroGuard AI. They are an experienced set of people, which means that in both innovation and responsibility the policies and practices of the company are based. Employee recruitment that gives preference to individuals with solid intellectual grounding in the field of AI ethics is indicative of best practices in governance where multidisciplinary supervision is suggested to combat complicated technological ethical issues (Jobin et al., 2019).

References:

- Floridi, L., Cowls, J., Beltrametti, M., et al. (2018). AI4People—An ethical framework for a good AI society. *Minds and Machines*, 28(4), 689–707. <https://doi.org/10.1007/s11023-018-9482-5>
- Gillespie, T. (2018). *Custodians of the Internet*. Yale University Press. <https://doi.org/10.12987/9780300235029>
- Gorwa, R., Binns, R., & Katzenbach, C. (2020). Algorithmic content moderation. *Big Data & Society*, 7(1). <https://doi.org/10.1177/2053951719897945>
- Jobin, A., Ienca, M., & Vayena, E. (2019). Global landscape of AI ethics guidelines. *Nature Machine Intelligence*, 1, 389–399. <https://doi.org/10.1038/s42256-019-0088-2>
- Mittelstadt, B. D., Allo, P., Taddeo, M., et al. (2016). The ethics of algorithms. *Big Data & Society*, 3(2). <https://doi.org/10.1177/2053951716679679>
- Treviño, L. K., & Nelson, K. A. (2021). *Managing business ethics: Straight talk about how to do it right* (8th ed.). Wiley. <https://doi.org/10.1002/9781119711009>
- Gebru, T., et al. (2018). Gender shades: Intersectional accuracy disparities in commercial gender classification. *Proceedings of Machine Learning Research*. <https://doi.org/10.48550/arXiv.1801.00681>
- Harris, T. (2016). How technology hijacks people’s minds. *Medium*.
- O’Neil, C. (2016). *Weapons of Math Destruction*. Crown Publishing.